

Friday Priced a Deal the Weekend Refused

A note on holding a price whose premise was withdrawn over the weekend, written before crude reopens this morning.

THE READING

Friday's close is now fifty hours old and rests on an assumption the weekend removed. The S&P 500 settled at 7,743.41, up 0.51%, and 78.6% of the way to its 7,797 ceiling. WTI fell 2.3% to \$92.41 on hopes of a phased US–Iran deal, and the 10-year backed off a 5.228% intraday high to close at 5.167%. On Saturday, Trump called Iran's seven-day Hormuz proposal unacceptable.

The emotion in the tape is relief, and the evidence is a VIX of 14.88, just 0.67 above its band floor. Credit did not share it. HYG, LQD and TLT all printed 52-week lows on Friday while equities closed near their highs, and the MOVE index of bond volatility, at 96, is still well above calm.

WHAT WISDOM WOULD SAY

Karl Popper argued in *Conjectures and Refutations* that a theory earns trust not from the confirmations it collects, which are easy to find, but from what it forbids, and from surviving tests that could have sunk it.

A price is a conjecture of this kind. Friday's rally made a claim about the world: that Hormuz was edging toward reopening, so oil and yields could ease together. That claim forbade a flat refusal from Washington. The refusal came on Saturday. The market's answer has not, because nothing has traded.

The habit Popper warns against is the rescue. Once a prediction fails, it is tempting to say the rally was really about Microsoft's agent overhaul, or positive dealer gamma, or quarter-end flows. Each may be true. But an explanation that changes after its premise fails no longer tells you anything you could test.

The honest position is narrower. Friday's number is a settle, not a verdict. Its claim is open again, and the first live test is where crude

reopens against \$92.41. Credit never accepted the conjecture in the first place.

THE RISK IT JUSTIFIES

This argues against adding index exposure at 7,743 on the strength of Friday's close, and against treating the 7,797 ceiling as within reach before the premise is tested. It argues for writing down, before the open, what the rally forbids: WTI back above Thursday's \$94.61 settle, or the 10-year through its 5.21% ceiling. If either prints, the claim has failed, and trimming into strength is consistent rather than nervous.

It does not argue for a short. The VIX is cheap, dealer gamma is positive, and Qatar-mediated talks may resume today. What would change the answer is crude holding below \$92.41 through Europe's session with the 10-year under 5.15%, or an S&P close above 7,797 with the Russell 2000, the only index down last week, joining it. PCE on Wednesday and payrolls on Friday then do the rest.

Which print today would make you admit Friday was wrong?